

CURRENT AFFAIRS



**WHY ?
&
HOW ?**



11th WEEK

11th March to 17th March, 2019

611**Ban on Import of Plastic Waste****612****Bilateral Swap Agreement****613****PSBloansin59mins.com is Largest Online Platform****614****Saudi Arabia the Largest Arms Importer****615****India has around 600 Tonnes of Gold Reserves****616****Supreme Court Clarification on DGP Appointment****617****Grounding of Boeing 737-MAX 8****618****TIR Convention****619****China's Technical Hold on Masood Azhar****620****BREXIT and Backstop**

611 ISSUE

Govt. plugged the loophole that allowed the import of plastic waste into India for processing.



Ministry of Environment, Forest and Climate Change
Government of India



CHANGED RULES

- Solid plastic waste is prohibited from import into the country, including Special Economic Zones and by Export Oriented Units.
- The change in law is part of the Hazardous and Other Wastes (Management & Transboundary Movement) Amendment Rules, 2019.



India consumes about 13 million tonnes of plastic and recycles only about 4 million tonnes annually. Average per capita consumption of plastic in India is about 11 kg against global average of 28 kg.

- 1 Imported Polyethylene Terephthalate (PET) bottles quadrupled from 2017 to 2018.
- 2 Though the Govt. banned import of plastic waste in 2015, in 2016, an amendment allowed such imports as long as they are carried out by agencies situated in SEZs.
- 3 Now, looking at the gravity of the situation, the Govt. imposed ban even for the imports for Special Economic Zones' processing.

612

ISSUE

RBI and Bank of Japan signed a Bilateral Swap Agreement.



BANK OF JAPAN

SALIENT POINTS

- Under the agreement, India can access a \$ 75 billion for its domestic currency, for the main purpose of maintaining an appropriate level of Balance of Payments or Short Term Liquidity at its discretion.
- Bank of Japan will accept rupees and give dollars to RBI.
- Similarly RBI will take Yen and give dollars to the Bank of Japan to stabilize each other's currency.

PSBloansin59mins.com, which was launched by the Prime Minister, Narendra Modi in 2018 emerged as the Country's largest online lending platform, with loan sanctions exceeding over Rs. 35,000 Cr.



State Bank of India



बैंक ऑफ बड़ौदा
Bank of Baroda

SALIENT POINTS

- The Portal facilitates in-principle approval for credit up to Rs. 1 Cr to Micro, Small and Medium Enterprises in just 59 mins or less than an hour.
- It has reduced the turnaround time from 20 to 25 days to 59 mins and upon approval the loan is disbursed in 7 to 8 working days.
- In-principle approval of loans does not require human intervention.

India was the World's second largest arms importer during 2014 to 2018 and the long-held tag has now gone to Saudi Arabia.



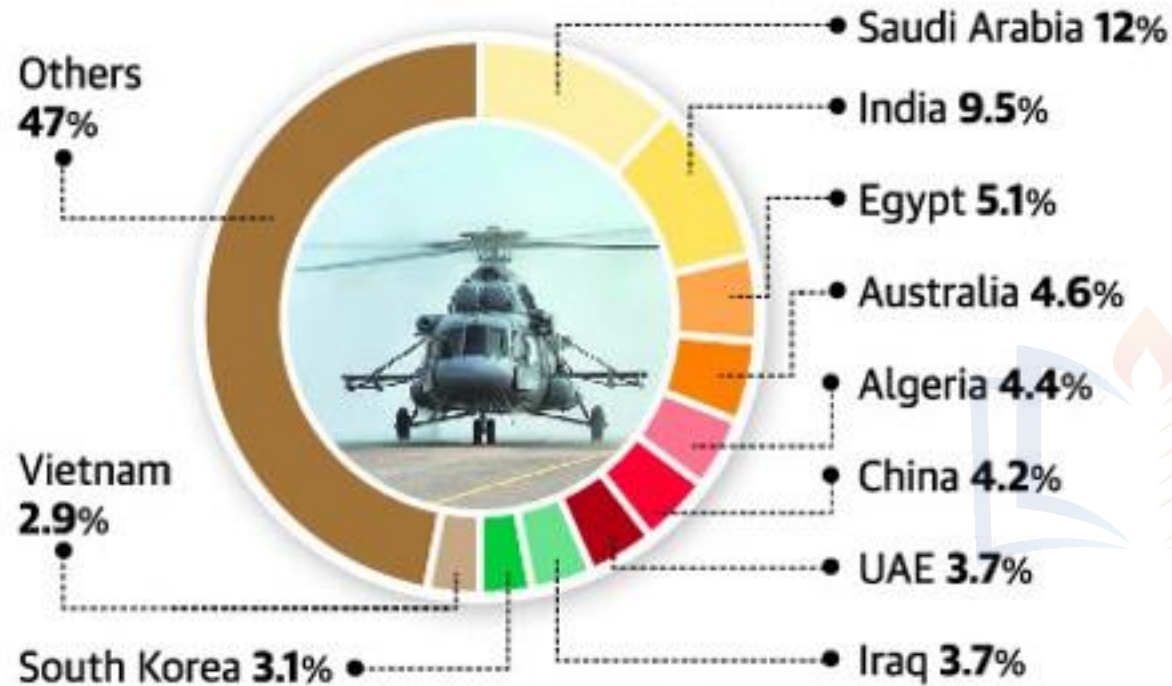
SALIENT POINTS

- Saudi Arabia accounted for 12% of the total imports during this period.
- Indian imports decreased by 24% between 2009-13 and 2014-18.
- Russia accounted for 58% of Indian arms imports in 2014-18, compared with 76% in 2009-13.
- Israel, the U.S. and France all increased their arms exports to India in 2014-18.

But, the Russian share in India's imports is likely to go up sharply during the next five-year period, due to the purchase / proposals of S-400 air defence systems, four stealth frigates, AK-203 assault rifles, a second nuclear attack submarine on lease and deals for Kamov-226T utility helicopters, Mi-17 helicopters etc.

Defence deal

A look at the global share of arms bought by the 10 largest importers from 2014-2018



SOURCE: SIPRI ARMS TRANSFER DATABASE

- The volume of international transfers of major arms in 2014-18 was 7.8% higher than in 2009-13 and 23% higher than in 2004-2008.
- The five largest exporters in 2014-18 were the United States, Russia, France, Germany and China together accounting for 75% of the total volume of arms exports in 2014-18.
- Pakistan sources 70% of the arms from China.

India has the 11th largest gold reserve, with the current holding at around 607 tonnes.

COUNTRIES WITH MAJOR GOLD RESERVES

(as on Jan 2019)	Tonnes	% of reserves
United States	8,133.5	75.0
Germany	3,369.7	70.6
IMF	2,814.0	-
Italy	2,451.8	66.9
France	2,436.0	60.8
Russia	2,119.2	18.9
Mainland China	1,864.3	2.5
Switzerland	1,040.0	5.6
Japan	765.2	2.5
Netherlands	612.5	65.7
India	607.0	6.4
ECB	504.8	28.3

Source: WGC



**WORLD
GOLD
COUNCIL**

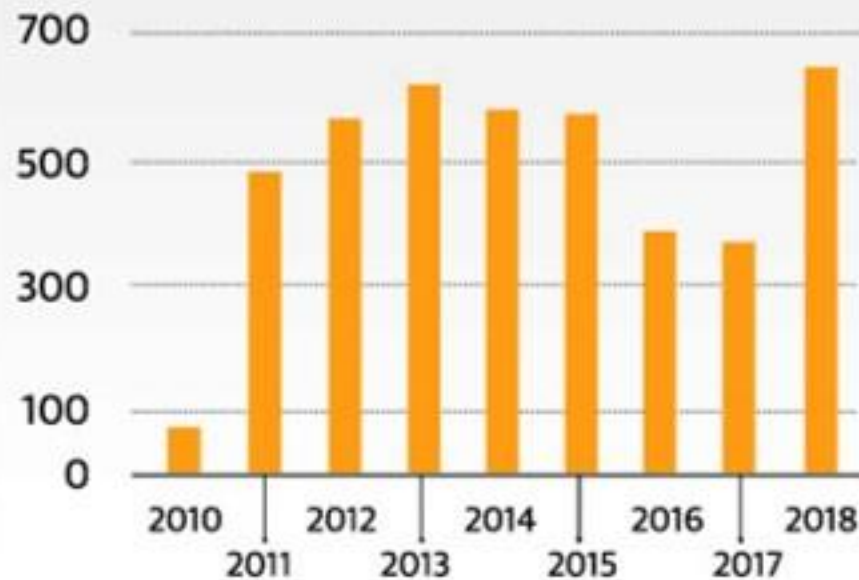
REASONS FOR HOLDING GOLD RESERVES

- It is to diversify the foreign exchange reserves.
- Gold is a finite asset and not like paper currency.
- The volatility of gold price is normally less.
- It increases the Country's standing in the global arena.
- Sometimes it has a negative correlation with the dollar, which means its value often rises when there's a dip in global demand for the U.S. currency.
- The metal also tends to react to changes in supply and demand less than other commodities.

BANKS BUY MORE

Globally, gold purchases by central banks were at their highest level in 50 years. The trend shows that the increase in demand was higher in 2018 compared to 2016 and 2017

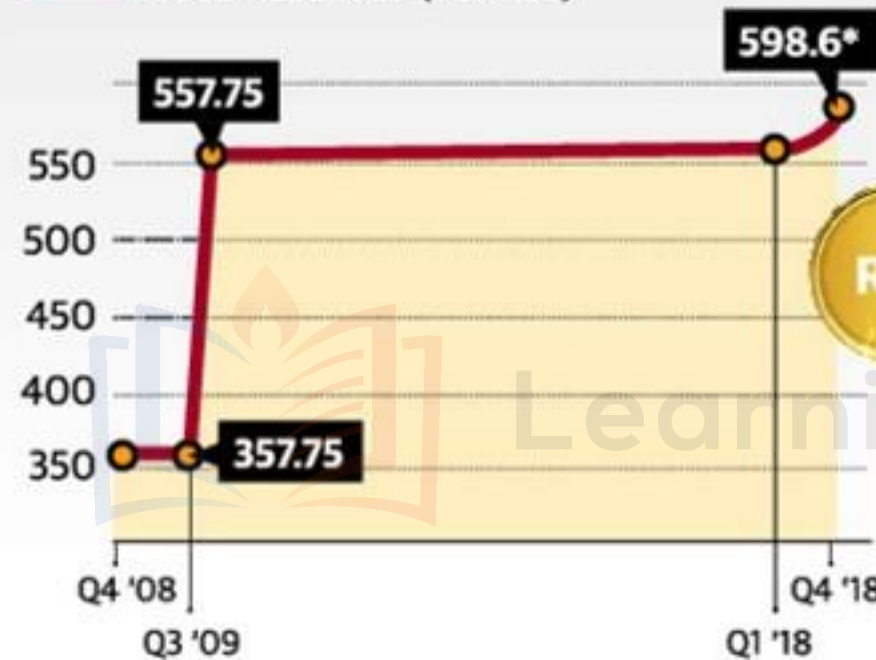
 GOLD PURCHASED BY CENTRAL BANKS (TONNES)



FOLLOWING SUIT

Since 2009, RBI's gold reserves have increased gradually, spiking after the first quarter of 2018. The central bank's recent increase in gold-buying is in line with many other central banks worldwide

 GOLD RESERVES (TONNES)



74%

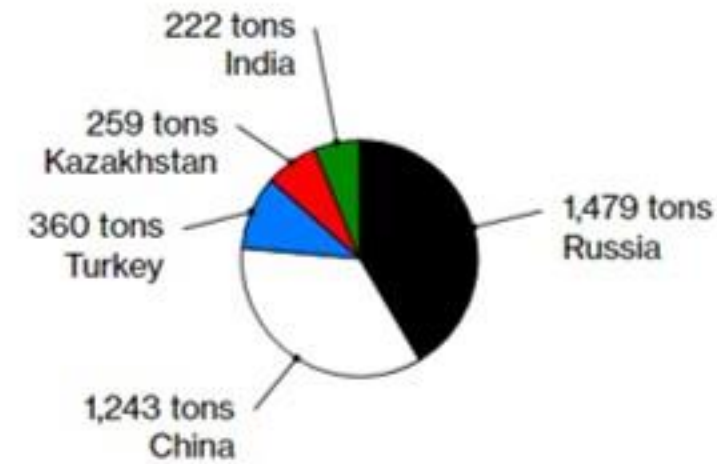
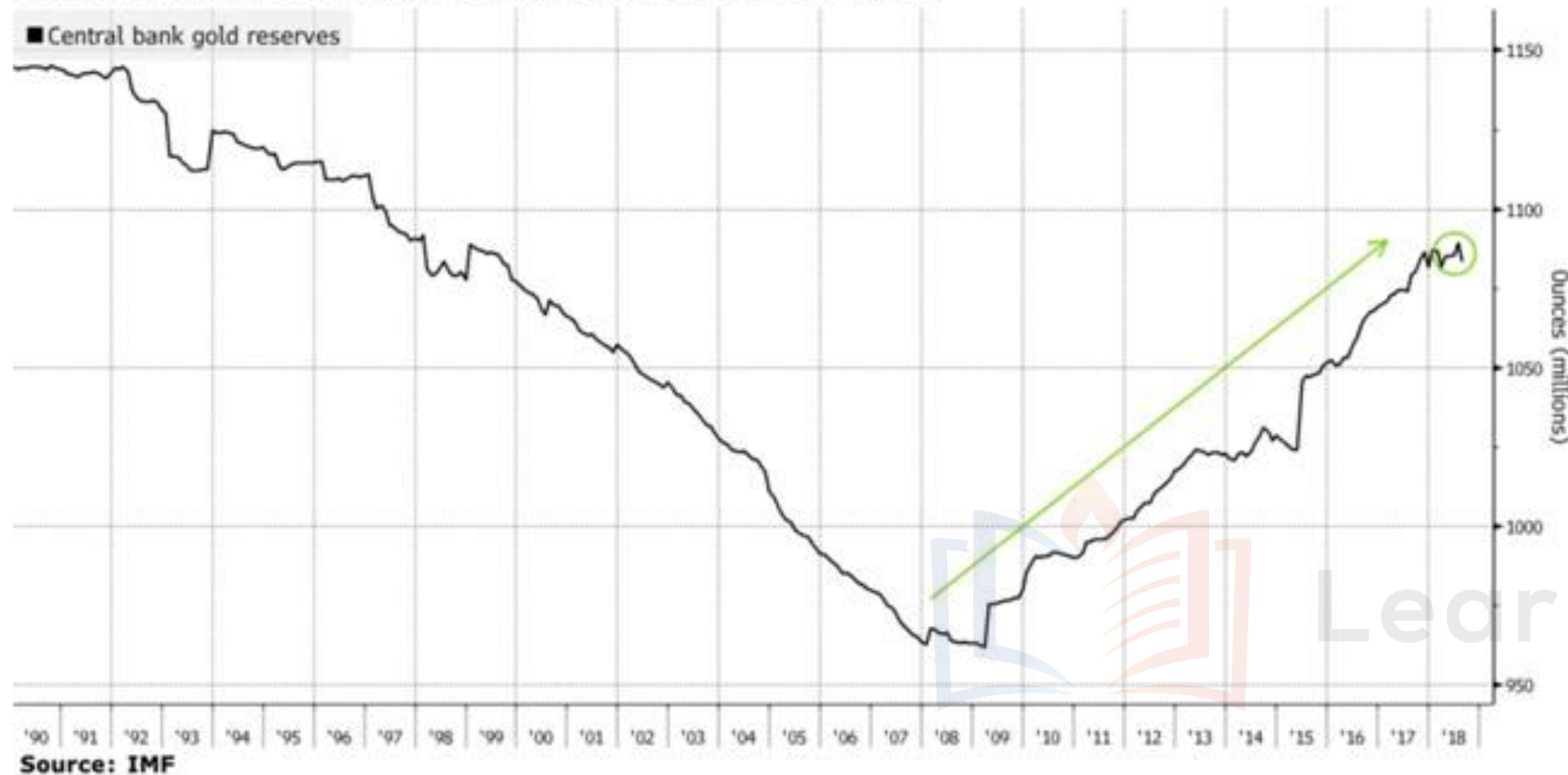
Year-on-year growth in gold-buying by central banks and other institutions (2017 to 2018)



*Data updated in February 2019 | Source: World Gold Council | Graphic: L. Balamurugan

Biggest Gold Hoarders

Central banks now hold about \$1.3 trillion of gold



Gold purchase by some countries in the past decade.

Some Nations are buying gold in recent times, for example, Russia to shift away from the dollar-denominated financial system. Any gold held by a Central Bank as a reserve asset is classified as monetary gold.

Clarifying its 2006 police reforms judgement, the Supreme Court ordered that, no police officer with less than six months of service would be considered for the post of DGP and the selection should be purely on the basis of merit.



SALIENT POINTS

- In the 2006 judgment, popularly known as the Prakash Singh case, the Supreme Court has directed the UPSC to prepare a panel of senior police officers, from among which the DGP would be chosen by the State Govt. and irrespective of his date of superannuation, he would enjoy a fixed tenure of two years.
- The Supreme Court clarified that the emphasis was to select the best and to ensure minimum tenure of two years of service of such officer, who is to be selected and appointed.



The Crash of an Ethiopian Airlines plane, five months after the Lion Air crash in Indonesia, has forced Boeing to ground all its 737 MAX aircraft.



Two air crashes of Boeing 737 MAX 8 put it in the spotlight.

SALIENT POINTS

- The Boeing 737 MAX series is a single aisle aircraft fitted with high bypass twin turbo fan engines.
- It is locked in competition with Airbus A320.
- For Boeing, this is the model, which is the fastest selling aircraft in its history.
- It cites about 5,000 orders from over 100 customers.
- There are four commercial variants MAX 7, 8, 9, 10.
- The suffix MAX is the coinage meant to highlight the potential of the aircraft in offering “Maximum Competitive Advantage” to the customers.

WHAT IS THE PROBLEM?



- The main aspect is with regard to anti-stalling system called the Manoeuvring Characteristics Augmentation System (MCAS).
- There is a suspicion which points to the misalliance between the pilots and the automatic system that prevents the aircraft from stalling, called MCAS.

The first shipment under the United Nations Transports Internationaux Routiers (TIR) Convention arrived in India from Afghanistan through Iran's Chabahar Port.



SALIENT POINTS

- The consignments arrived at the ports of Nhava Sheva, Mumbai and Mundra.
- TIR Convention will help in fast and easy movement of goods across multiple countries under a common customs document and guarantee.

It permits sealed road transport shipments to traverse European TIR-members countries without undergoing customs inspection until reaching the destination country.

TIR CONVENTION ... HOW IT FUNCTIONS?



- 1 TIR Convention is the United Nations Customs Convention on International Transport of Goods Under Cover of TIR Carnets.
- 2 The system is managed worldwide by the International Road Transport Union, Geneva.
- 3 It is overseen by United Nations Economic Commission for Europe.
- 4 It allows goods to be outlined in TIR Carnet and sealed in load compartments.
- 5 Customs Officials verify the carnets and check the seals, with no need for physical checking of the contents.



WHAT ARE THE ADVANTAGES OF TIR CONVENTION?



More than 34,000 operators are authorized to use the TIR system and in 2017, around 1.2 million TIR carnets were issued worldwide.

- 1 It enables the shipments to pass through the countries without being opened at borders.
- 2 The system facilitates and encourages international trade and it provides many advantages and benefits to the national economies.
- 3 Reciprocal recognition of customs controls is at the heart of the convention.
- 4 This enables facilitative and non-intrusive environment for multi-modal transport of goods through several countries.

HOW DOES IT BENEFIT INDIA?



India joined the TIR Convention on June 15, 2017. FICCI is the National Issuing and Guaranteeing Association. Convention will help boost India's exports and enable greater participation in the Global Value Chains. The system is a win-win model for customs, FICCI and the business community.

- 1** It will play a pivotal role in improving the Ease of Doing Business.
- 2** It paves the way for smoother and safer transport of goods across International borders.
- 3** It will also help boost trade between India, Central Asia, Europe and Russia.
- 4** It will act as a strong catalyst for moving goods using the multi-modal transportation routes, like Chabahar and International North South Transport Corridor (INSTC).
- 5** The opening of Chabahar Port will give boost for movement under TIR.



International North-South Transport Corridor
(INSTC)

Black Sea

Caspian Sea

Mediterranean Sea

Persian Gulf

Red Sea

Arabian Sea

Bay of Bengal

Mumbai

CHINA

INDIA

SAUDI ARABIA

EGYPT

LIBYA

ALGERIA

NIGERIA

Niger

MALI

MAURITANIA

MOROCCO

SPAIN

UNITED KINGDOM

BELARUS

POLAND

GERMANY

FRANCE

CZECH REP

SLOVAKIA

AUSTRIA

HUNGARY

ROMANIA

UKRAINE

ITALY

GREECE

CROATIA

SERBIA

BULGARIA

TURKEY

SYRIA

IRAQ

UZBEKISTAN

KYRGYZSTAN

TADJIKISTAN

AFGHANISTAN

PAKISTAN

Gulf of Thailand

China put “technical hold” over the proposal to designate Pakistan-based terror group, Jaish e Mohammad Chief, Masood Azhar, as a global terrorist in the UN Security Council 1267 List.



MASOOD AZHAR

Chief, Jaish e Mohammed



SALIENT POINTS

The proposal was moved by France, the UK and the US in the back drop of Pulwama terror attack.



IMPLICATIONS OF THE LISTING BY THE 1267 SANCTIONS COMMITTEE

1

ASSETS FREEZE

The Asset Freeze mandates all States to freeze without delay the funds and other financial assets or economic resources of designated individuals and entities.



2

TRAVEL BAN

Travel Ban implies preventing entry of designated individuals into or transit by all States through their territories.



3

ARMS EMBARGO

It requires all States to prevent the direct or indirect supply, sale and transfer from their territories or by their nationals outside the territories.



The Withdrawal Agreement is in the news between UK and EU and it sets the terms on which a member country will leave the EU.



SALIENT POINTS

- According to the agreement, the transition period begins on March 29 and lasts till December 31, 2020.
- The UK will lose membership in the EU institutions as soon as the transition period kicks in, but will need to abide by EU rules till the transition is over.
- UK will have to pay about 39 billion pounds to the EU in instalments to settle all its financial obligations.
- UK citizens in EU and EU citizens in the UK will retain their residency and social security rights.

BACKSTOP...THE REAL CONTENTIOUS ISSUE!



The agreement has proposed a Backstop of a single customs territory between EU and the UK, in case no trade deal is reached at the end of the transition period.

- 1 In Northern Ireland, decades of sectarian violence between the protestants, who wanted to remain with the UK and Catholics, who wanted to join Republic of Ireland, came to an end after the 1998 Good Friday agreement.
- 2 Open border was a major part of the peace agreement.
- 3 If the UK leaves EU without a proper agreement, there will be a hard border between Northern Ireland and Republic of Ireland. Backstop intends to avoid such a scenario.

UNITED KINGDOM

*North
Atlantic
Ocean*

North Sea



NORTHERN
IRELAND

IRELAND

WALES

England

NETHERLANDS

BELGIUM

GERMANY

WHAT EXACTLY WE UNDERSTAND BY BACKSTOP?



The main worry is that the backstop would permanently entrap the UK within the customs union and the single market.

- 1 As per the proposed deal, British Government would seek to reach a trade agreement with EU, that would avoid a hard border between the Irelands.
- 2 But, if no trade agreement is reached between UK and EU by the end of the transition period, the backstop will come into force, that is a single customs territory between the EU and the UK.
- 3 In that case, Northern Ireland will be bound by many EU rules and the UK cannot leave the backstop without EU's approval.

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